

Bluefield Indemnity — Cyber Liability Policy (SME)

Policy Number: SC-CYBER-SME-0020 | Region: Coastal Bay | Effective:

2024-01-01 | Expiry: 2025-01-01

Policy Type: Cyber Liability Policy (SME)

1. Declarations

Named Insured: as shown in the policy record. Policy Number: SC-CYBER-SME-0020. Policy Period: from 2024-01-01 to 2025-01-01, 12:01 a.m. standard time at the address of the Named Insured.

Insuring Company: Bluefield Indemnity Company, hereinafter called "the Company".

Coverage: Cyber Liability Policy (SME). Territory: Coastal Bay.

Limit of Liability: \$200,000 each occurrence. Deductible: \$5,000 each occurrence.

2. Insuring Agreement

In consideration of the payment of the premium and in reliance upon the statements in the Declarations, the Company agrees to provide the insurance described in this policy for costs arising from a covered data breach or cyber incident affecting the insured's business systems, subject to the terms, conditions, limitations, and exclusions set forth herein.

This policy applies only to loss that occurs during the policy period shown in the Declarations, unless an endorsement attached to this policy states otherwise.

3. Definitions

Throughout this policy, the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us", and "our" refer to the Company providing this insurance.

"Occurrence" means an event, including continuous or repeated exposure to substantially the same general harmful conditions, which results in loss during the policy period, neither expected nor intended by the insured.

"Loss" means direct and accidental loss or damage, unless the context of the provision indicates otherwise.

"Property Damage" means physical injury to or destruction of tangible property, including the loss of use of that property.

4. Insuring Provisions

We will pay those sums that the insured becomes legally obligated to pay, or sustains directly, as damages or loss because of costs arising from a covered data breach or cyber incident affecting the insured's business systems, provided that the loss is caused by an occurrence within the policy period and territory stated in the Declarations.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under a Supplementary Payments provision or endorsement attached to this policy.

- Coverage applies only to an occurrence taking place within the policy period.
- The amount we will pay for loss is limited as described in the Limits of Liability section of this policy.

5. Exclusions

This insurance does not apply to any of the following, and this list is not exhaustive of all exclusions that may be stated elsewhere in this policy or an attached endorsement:

- Loss expected or intended by any insured, or resulting from an act committed by or at the direction of any insured with intent to cause loss.
- Loss arising out of ordinary wear and tear, gradual deterioration, inherent vice, latent defect, corrosion, rust, mold, wet or dry rot, or mechanical breakdown.
- Loss arising out of war, including undeclared war, civil war, insurrection, rebellion, revolution, or any act or condition incident to any of the foregoing.
- Loss arising out of the actual, alleged, or threatened discharge, dispersal, release, or escape of pollutants, unless the discharge is sudden and accidental.
- Loss for which the insured is obligated to pay damages by reason of the assumption of liability in a contract or agreement, except to the extent liability would have attached in the absence of that contract.
- Fraudulent, dishonest, or criminal acts by or at the direction of any insured, whether acting alone or in collusion with others.

6. Limits of Liability

Regardless of the number of insureds, claims made, or persons or organizations making claims, our total liability for all damages arising

out of any one occurrence will not exceed the Limit of Liability shown in the Declarations, being \$200,000.

A deductible of \$5,000 applies separately to each occurrence, and will be deducted from the amount otherwise payable before any payment is made under this policy.

Payments made under any Supplementary Payments provision, if applicable, are in addition to, and not part of, the Limit of Liability.

7. Duties in the Event of Loss

In the event of a loss to which this insurance may apply, the insured must perform the following duties as a condition precedent to coverage under this policy.

- Give prompt notice of the loss to us or our authorized agent, including how, when, and where the loss occurred.
- Take all reasonable steps to protect covered property from further damage, and keep a record of expenses necessary to protect the property for consideration in the settlement of the claim.
- Permit us to inspect the property and records proving the loss before, and after, repair or replacement.
- As often as we reasonably require, provide us with records and documents we request and permit us to make copies, and submit to examination under oath.
- Send us a signed, sworn proof of loss within sixty days after our request, setting forth the details of the occurrence, the interest of the insured, and other insurance that may cover the loss.
- Cooperate with us in the investigation, settlement, or defense of any claim or suit.

8. General Conditions

Other Insurance. If there is other applicable insurance covering the same loss, this policy will apply only as excess over such other insurance, unless a contrary intent is expressed in an attached endorsement.

Subrogation. If any person or organization to or for whom we make payment under this policy has rights to recover damages from another, those rights are transferred to us to the extent of our payment. That person or organization must do everything necessary to secure those rights and must do nothing after loss to impair them.

Cancellation. This policy may be cancelled by the Named Insured by mailing or delivering to us advance written notice of cancellation. We

may cancel this policy by mailing or delivering written notice to the Named Insured at the address shown in the Declarations, stating the effective date of cancellation.

Assignment. Interest in this policy may not be assigned without our written consent.

Concealment or Fraud. Coverage under this policy is void as to any insured who, whether before or after a loss, has intentionally concealed or misrepresented any material fact or circumstance relating to this insurance.

9. Endorsements and Amendments

This policy, including the Declarations and any attached endorsements, constitutes the entire agreement between the insured and the Company relating to this insurance. No provision of this policy may be waived or changed except by endorsement issued by the Company and attached to this policy.

This document represents the version of the policy effective from 2024-01-01 through 2025-01-01. Where the Company issues a renewal or replacement policy, the terms of that later policy govern occurrences taking place during its own policy period, and do not alter the terms applicable to an occurrence that took place during an earlier policy period.

10. Additional Coverage Terms

The following additional terms apply specifically to coverage for costs arising from a covered data breach or cyber incident affecting the insured's business systems under this policy, and supplement rather than replace the general terms stated elsewhere in this policy.

- Coverage is provided on the terms in effect at the time of the occurrence giving rise to the claim.
- Any sublimit stated in an endorsement applies in place of, and does not increase, the overall Limit of Liability stated in the Declarations.
- Salvage or recovered property, if any, will be credited against the amount payable under this policy.

11. Loss Settlement

We may pay for loss in money, or repair or replace the damaged property, at our option. We reserve the right to take all or part of damaged property at the agreed or appraised value.

If we and the insured fail to agree on the amount of loss, either party may demand an appraisal. Each party will select a competent, disinterested appraiser and notify the other of the selection within twenty days of the demand. The two appraisers will select an umpire; if they cannot agree within fifteen days, either party may request selection by a judge of a court of record.

Each appraiser will separately set the amount of loss. If the appraisers submit a written report of an agreement to us, the amount agreed upon will be the amount of loss. If they fail to agree, they will submit their differences to the umpire, and a decision agreed to by any two will set the amount of loss.

- Each party will pay its own chosen appraiser and bear the other appraisal expenses equally.
- We do not waive any of our rights under this policy by engaging in the appraisal process.
- Payment is due within the period stated in this policy after the amount of loss is established and any other applicable policy conditions are satisfied.

12. Miscellaneous Provisions

Legal Action Against Us. No person or organization has a right under this policy to join us as a party or otherwise bring us into a suit asking for damages from an insured. No person or organization has the right to sue us on this policy unless all of its terms have been fully complied with.

Bankruptcy. Bankruptcy or insolvency of the insured or of the insured's estate does not relieve us of any of our obligations under this policy.

Currency. All limits, premiums, and other amounts under this policy are stated and payable in the currency shown in the Declarations.

Titles of Paragraphs. The titles of the paragraphs and sections of this policy are included solely for convenience and do not affect the interpretation or meaning of any provision.